4.2.R1 (1/1 point)

Using the model on page 8 of the notes, what value of Balance will give a predicted Default rate of 50%?

Enter the value of Balance below:

1936.6

1936.6

Answer: 1936.6

EXPLANATION

We know that logit(.5) = $\beta_0 + \beta_1$ *Balance. Thus, Balance = (logit(.5) - β_0)/β_1 = (log(.5/(1-.5)) + 10.6513)/.0055 = 1936.6

Hide Answer *You have used 1 of 5 submissions*